

Ticker: SKE CN

Cash 3Q22: C\$27m

Project: Eskay Creek

Market cap: C\$523m

Price: C\$6.9/sh

Country: Canada, BC

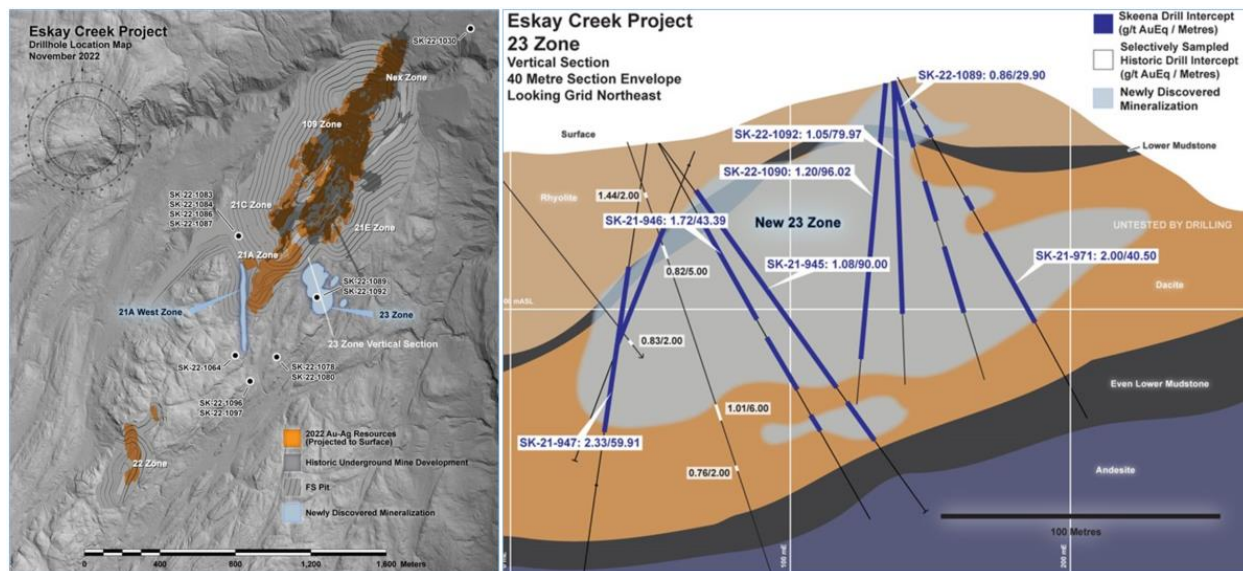
REC. (unc): BUY

TARGET (unc): C\$10.80/sh

RISK RATING (unc): HIGH

The average of today's New 23 Zone infill drilling is **38m @ 0.9g/t**. Whilst lower than the current OP resource (5.3Moz @ 3.2 g/t AuEq), this starts from surface and all outside existing reserves for useful bulk additions. By our maths, we think is a positive result and can add low strip, cheap ounces up to SCPe 40-70koz @ 0.9-1.2g/t AuEq (based on averages) on this 40m section alone, as it starts right from surface and located <200m east of the main pit. Net net, some areas of infill like 21A appear to be outperforming materially, while others today are more 'useful' than step change. Also interesting, the step out drilling to the south and in between deposits is hitting mineralization, albeit only smoke for now, it's encouraging to see the company willing to take big swings on exploration. For now, **we maintain our BUY rating and C\$10.80/sh PT based on 0.6xNAV_{5%-1700}**. Looking ahead, early construction works at Eskay, progress on permitting / framework, ongoing results from the 2022 drill program, and potentially funding to support early-works as permitting continue should provide solid news flow.

Figure 1. Eskay Creek (A) plan view and (B) vertical (long) section showing today's 23 Zone drilling



Source: Skeena

New 23 Zone infill returns 80m @ 1.1g/t AuEq from surface; assays pending

Infill highlights of **80m @ 1.1g/t AuEq** and **30m @ 0.9g/t AuEq** from Zone 23 were from same pad as previous intersection of 96m @ 1.2g/t in the rhyolite hosted mineralization at surface. Results from additional nearby infill drill holes are pending and expected in the near future. Targets such as the 23 Zone are expected to provide positive benefits to the FS in 2H23. Other results included 8.7m @ 2.4g/t, 5.9m @ 4.4g/t, and 9.8m @ 2.7g/t AuEq between 21C and 21A zones.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

- 4Q22: Permitting framework
- Year end 22: Potential funding / for early works

- CY23-24: Early works / civils / roads / bridges
- CY25: Permitting and funding, construction start
- CY26: SCPe first production

Research

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SELL: The stocks total returns are expected to be materially lower than the overall market

TENDER: The analyst recommends tendering shares to a formal tender offering

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BUY:	51
HOLD:	1
SELL:	0
UNDER REVIEW:	1
TENDER:	0
NOT RATED:	0
TOTAL	53

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